



Contents

1. Introduction	6
PART I — UNDERSTANDING STRATEGIC PLANNING	6
2. What is Strategic Planning?.....	6
3. Strategic Planning vs. Operational Planning.....	7
PART II — THE COMPLETE STRATEGIC PLANNING CYCLE	8
4. Recommended Strategic Planning Architecture	8
PHASE 1 — PREPARATION	9
5. Establish the Strategic Planning Process	9
6. Establish a Strategic Planning Team.....	10
PHASE 2 — ORGANISATIONAL IDENTITY.....	10
7. Basic Organisational Information.....	10
8. Vision	11
9. Mission.....	12
10. Core Values	12
PHASE 3 — STAKEHOLDER ANALYSIS	13
11. Stakeholder Mapping	13
PHASE 4 — INTERNAL DIAGNOSIS.....	15
12. Internal Analysis.....	15
13. SWOT Analysis	16
14. How to Create a SWOT.....	17
15. Do Not Stop at SWOT	18
PHASE 5 — EXTERNAL ANALYSIS	19
16. PESTEL Analysis	19
17. How to Create PESTEL	19
18. Industry / Competitive Analysis	21
PHASE 6 — BUSINESS MODEL ANALYSIS.....	22
19. Business Model Canvas	22
20. Example — Artists' Multipurpose Cooperative	22
PHASE 7 — PROBLEM ANALYSIS	24
21. Problem Tree	24
22. Transforming a Problem Tree into an Objective Tree.....	25
PHASE 8 — STRATEGIC CHOICES	26
23. From Analysis to Strategy	26
24. Strategic Pillars	26

25. How to Select Strategic Priorities	26
PHASE 9 — STRATEGIC OBJECTIVES	27
26. What is a Strategic Objective?	27
27. SMART Objectives	28
28. Objective Hierarchy	28
PHASE 10 — BALANCED SCORECARD	29
29. Why Use the Balanced Scorecard?	29
30. Example Balanced Scorecard — SACCO	30
31. Strategic Cause-and-Effect Logic	30
32. Strategy Map	31
PHASE 11 — KPIs	31
33. Key Performance Indicators	31
34. Leading vs. Lagging Indicators	32
PHASE 12 — STRATEGIC INITIATIVES	33
35. What is a Strategic Initiative?	33
36. Action Plan	34
PHASE 13 — KANBAN FOR IMPLEMENTATION	34
37. Why Use Kanban?	34
38. Kanban Rules	35
PHASE 14 — RISK MANAGEMENT	35
39. Strategic Risk Analysis	35
40. Risk Matrix	36
PHASE 15 — FINANCIAL ALIGNMENT	36
41. Strategy Must Be Connected to the Budget	36
42. Budget Prioritisation	37
PHASE 16 — IMPLEMENTATION GOVERNANCE	38
43. Who Owns the Strategy?	38
44. Strategy Review Structure	38
PHASE 17 — MONITORING AND EVALUATION	39
45. Strategic Performance Dashboard	39
46. The Strategic Review Meeting	40
PHASE 18 — COOPERATIVE-SPECIFIC STRATEGIC PLANNING	40
47. The Cooperative Difference	40
48. Cooperative Strategic Dimensions	41
PHASE 19 — INTEGRATING SUSTAINABILITY / ESG	41

49. ESG in Strategic Planning	41
50. Example	42
PHASE 20 — DIGITAL TRANSFORMATION	43
51. Digital Strategy	43
PHASE 21 — STRATEGIC PLANNING WORKSHOP	44
52. Recommended Workshop Structure	44
53. Day 2 — Strategy Development	44
54. Day 3 — Implementation	45
PHASE 22 — A COMPLETE PRACTICAL EXAMPLE	45
55. Example: SACCO Strategic Planning	45
56. Balanced Scorecard Example	47
57. Strategic Map Example	48
PHASE 23 — FROM STRATEGY TO ACTION	48
58. Example Strategic Action Plan	48
PHASE 24 — COMMON STRATEGIC PLANNING MISTAKES	49
59. Mistake 1 — Too Many Objectives	49
60. Mistake 2 — Confusing Activities with Objectives	50
61. Mistake 3 — No Baseline	50
62. Mistake 4 — Unrealistic Targets	50
63. Mistake 5 — Strategy Without Budget	51
64. Mistake 6 — Strategy Developed Only by Consultants	51
65. Mistake 7 — Strategy Document Becomes a Shelf Document	51
PHASE 25 — RECOMMENDED STRATEGIC PLAN DOCUMENT STRUCTURE	51
66. Final Strategic Plan	51
PHASE 26 — THE STRATEGIC PLANNING TOOLKIT	53
67. Recommended Methodologies and Their Purpose	53
PHASE 27 — WHICH METHODOLOGY SHOULD BE USED?	54
68. Do Not Use Every Methodology Automatically	54
PHASE 28 — THE COMPLETE STRATEGIC LOGIC	55
69. The "Golden Chain" of Strategic Planning	55
PHASE 29 — QUALITY CONTROL	56
70. Strategic Plan Quality Checklist	56
PHASE 30 — THE FINAL STRATEGIC PLANNING MODEL	58
71. Recommended Model for Cooperative Organisations	58
72. The Most Important Principle	60

73. Recommended "Strategy on One Page"	61
74. Conclusion	62

COMPLETE GUIDE TO DEVELOPING AND ESTABLISHING A STRATEGIC PLAN

A Practical Methodology for Cooperatives, SACCOs and Cooperative Institutions

1. Introduction

A Strategic Plan is a structured roadmap that defines **where an organisation wants to go, why it wants to go there, how it will get there, what resources are required, and how progress will be measured.**

A good Strategic Plan is not simply a document. It is a **management system for turning vision into measurable results.**

For a cooperative, SACCO, federation, apex organisation or support institution, the Strategic Plan should connect:

Vision → Mission → Diagnosis → Strategic Priorities → Objectives → Indicators → Activities → Resources → Implementation → Monitoring → Learning

The purpose of this guide is to provide a complete, practical process for developing and establishing a Strategic Plan, including the main methodologies, how to construct them, when to use them, and practical cooperative examples.

PART I — UNDERSTANDING STRATEGIC PLANNING

2. What is Strategic Planning?

Strategic planning is the process through which an organisation:

1. Understands its current situation.
2. Defines the desired future.
3. Identifies the most important challenges and opportunities.
4. Chooses strategic priorities.
5. Defines measurable objectives.

6. Determines the actions and resources required.
7. Establishes responsibilities and timelines.
8. Monitors implementation and adjusts when necessary.

The strategic planning logic

A useful way to understand the process is:

Where are we now?

↓

Where do we want to go?

↓

Why do we want to go there?

↓

What strategic choices will take us there?

↓

What must change?

↓

What will we do?

↓

Who will do it, when and with what resources?

↓

How will we know that we are succeeding?

3. Strategic Planning vs. Operational Planning

One of the most common mistakes is confusing strategy with daily activities.

Strategic level

Answers:

- What is our long-term direction?
- What position do we want to achieve?
- What major changes are necessary?
- Which areas deserve priority?

- What capabilities must we develop?

Operational level

Answers:

- What exactly will we do?
- Who will do it?
- When?
- How much will it cost?
- What resources are required?

Example

A SACCO says:

Strategic objective:

Increase member access to appropriate financial services.

This is strategic.

The operational activities could be:

- Develop a youth savings product.
- Train staff in credit analysis.
- Introduce digital loan applications.
- Conduct financial literacy sessions.
- Review the loan policy.
- Establish a credit scoring mechanism.

The Strategic Plan should therefore operate at the strategic level while providing enough detail to guide implementation.

PART II — THE COMPLETE STRATEGIC PLANNING CYCLE

4. Recommended Strategic Planning Architecture

A robust Strategic Planning process can be organised into 10 phases:

Phase 1 — Preparation

Phase 2 — Organisational Identity

Phase 3 — Stakeholder Analysis

Phase 4 — Internal Diagnosis

Phase 5 — External Diagnosis

Phase 6 — Strategic Analysis and Choice

Phase 7 — Strategic Objectives and Strategic Map

Phase 8 — Implementation Plan

Phase 9 — Monitoring and Evaluation

Phase 10 — Approval, Communication and Institutionalisation

The following sections explain each phase.

PHASE 1 — PREPARATION

5. Establish the Strategic Planning Process

Before conducting workshops, the organisation should define:

- Planning period.
- Scope.
- Participants.
- Responsibilities.
- Methodology.
- Information required.
- Consultation process.
- Approval process.
- Implementation arrangements.

Recommended planning period

For most cooperatives:

3–5 years

For a newly established cooperative:

3 years may be more practical.

For a mature institution:

5 years can be appropriate, with annual reviews.

6. Establish a Strategic Planning Team

The team should ideally include:

- Board representatives.
- Management.
- Supervisory/oversight representatives.
- Key staff.
- Members or member representatives.
- Relevant technical personnel.
- Selected external stakeholders where appropriate.

The Board should provide strategic leadership, while management should take responsibility for implementation.

Important principle

The consultant/facilitator should **facilitate the process, not create the strategy for the organisation.**

The strategy must belong to the cooperative.

PHASE 2 — ORGANISATIONAL IDENTITY

7. Basic Organisational Information

Before analysing the organisation, establish a common understanding of its current identity.

Collect:

- Legal name.
- Legal status.
- Year established.
- Registration information.

- Geographic coverage.
- Membership.
- Products and services.
- Organisational structure.
- Staff.
- Financial position.
- Governance structure.
- Main partners.
- Main beneficiaries/members.
- Current challenges.
- Previous strategic plans.
- Existing policies.

This information becomes the **Strategic Planning Baseline**.

8. Vision

What is a Vision?

The Vision describes the desired future state of the organisation.

It answers:

What do we want to become?

A good vision should be:

- Aspirational.
- Clear.
- Future-oriented.
- Short.
- Memorable.
- Relevant to the organisation's purpose.

Weak example

"To provide good services to our members."

This describes an activity rather than a desired future.

Stronger example

"To become a trusted and inclusive cooperative providing sustainable economic opportunities for artists across Eswatini."

This communicates a desired future position.

9. Mission

The Mission explains the organisation's fundamental purpose.

It answers:

Why do we exist, who do we serve, and what do we do?

A useful formula is:

We exist to + primary purpose + target members/beneficiaries + principal value/service + distinctive approach.

Example — Artists' Cooperative

"To unite artists and creative professionals through cooperative ownership, access to finance, skills development, market opportunities and shared production services."

10. Core Values

Values define how the organisation intends to behave.

For a cooperative, possible values include:

- Member ownership.
- Democratic participation.
- Transparency.
- Accountability.
- Solidarity.
- Inclusion.
- Integrity.
- Professionalism.
- Innovation.
- Sustainability.
- Ubuntu.

Important distinction

Values should not simply be words on a wall.

Each value should be translated into **observable behaviour**.

Example:

Transparency

Means:

- Financial information is communicated to members.
- Decisions are documented.
- Conflicts of interest are declared.
- Members receive relevant information before major decisions.

PHASE 3 — STAKEHOLDER ANALYSIS

11. Stakeholder Mapping

A cooperative does not operate alone.

Stakeholders may include:

- Members.
- Board.
- Management.
- Employees.
- Government.
- Cooperative Department.
- Apex organisations.
- Regulators.
- Banks.
- Technology providers.
- Development partners.
- Customers.
- Suppliers.
- Communities.
- Donors.

- Other cooperatives.

Methodology: Power–Interest Matrix

Create two dimensions:

Power/Influence

Low → High

Interest

Low → High

This produces four categories:

Category	Approach
High power / High interest	Manage closely
High power / Low interest	Keep satisfied
Low power / High interest	Keep informed
Low power / Low interest	Monitor

Example

For a SACCO:

High power / High interest

- Board
- Regulator
- Members

High power / Low interest

- Certain government stakeholders

Low power / High interest

- Youth members

Low power / Low interest

- General public

Strategic value

This analysis helps determine:

- Who must be consulted?
- Who can support implementation?

- Who can block progress?
- Who needs regular communication?
- Where are stakeholder risks?

PHASE 4 — INTERNAL DIAGNOSIS

12. Internal Analysis

Internal analysis asks:

What are we good at, what are we weak at, and what resources/capabilities do we possess?

Analyse:

Governance

- Board effectiveness.
- Committee functionality.
- General meetings.
- Accountability.
- Policies.
- Conflict of interest.

Management

- Leadership.
- Structure.
- Staff capacity.
- Processes.

Finance

- Income.
- Expenses.
- Liquidity.
- Capital.
- Profitability/surplus.
- Loan portfolio.

- Savings.

Members

- Number.
- Growth.
- Retention.
- Participation.
- Satisfaction.

Products/services

- Relevance.
- Quality.
- Pricing.
- Accessibility.

Digitalisation

- Systems.
- Data.
- Digital channels.
- Cybersecurity.
- Digital skills.

Human resources

- Skills.
- Training.
- Performance management.

13. SWOT Analysis

SWOT is one of the most useful strategic planning methodologies.

SWOT stands for:

S — Strengths

W — Weaknesses

O — Opportunities

T — Threats

The critical rule

Strengths and weaknesses are **internal**.

Opportunities and threats are **external**.

14. How to Create a SWOT

Create four quadrants.

Internal	Positive	Negative
Organisation	Strengths	Weaknesses
External environment	Opportunities	Threats

Example — SACCO

Strengths

- Strong member loyalty.
- Experienced Board.
- Growing savings.
- Good community reputation.
- Existing office infrastructure.

Weaknesses

- Manual processes.
- Limited digital services.
- Weak financial analysis.
- Limited staff capacity.
- Low youth participation.

Opportunities

- Growing demand for digital financial services.
- Youth market.
- Partnerships with employers.
- Government support.
- Mobile technology.

Threats

- Commercial banks.

- Fintech competition.
- Cybersecurity risks.
- Economic instability.
- Regulatory changes.

15. Do Not Stop at SWOT

A common mistake is to create SWOT and then simply include it in the report.

The real value comes from **SWOT Strategic Conversion**.

Ask:

SO strategies

How can strengths be used to exploit opportunities?

Example:

Use strong member loyalty to introduce a digital savings product.

WO strategies

How can opportunities help overcome weaknesses?

Example:

Use technology partnerships to overcome limited internal digital capacity.

ST strategies

How can strengths reduce threats?

Example:

Use strong community trust to differentiate the SACCO from commercial financial institutions.

WT strategies

How can weaknesses be reduced to avoid threats?

Example:

Strengthen cybersecurity and digital controls before expanding digital services.

This converts analysis into strategy.

PHASE 5 — EXTERNAL ANALYSIS

16. PESTEL Analysis

PESTEL analyses the external environment.

P — Political

E — Economic

S — Social

T — Technological

E — Environmental

L — Legal

17. How to Create PESTEL

For each category, identify:

1. Current situation.
2. Emerging trends.
3. Potential impact.
4. Opportunity.
5. Threat.
6. Strategic implication.

Example — SACCO in Eswatini

Political

- Government cooperative policies.
- National development priorities.
- Government support programmes.

Strategic implication:

Strengthen engagement with government cooperative development initiatives.

Economic

- Inflation.
- Interest rates.

- Employment.
- Household purchasing power.

Strategic implication:

Develop affordable and flexible member products.

Social

- Youth population.
- Migration.
- Financial literacy.
- Changing consumer expectations.

Strategic implication:

Develop products specifically adapted to younger members.

Technological

- Mobile banking.
- Digital payments.
- Cloud systems.
- Cybersecurity.

Strategic implication:

Accelerate digital transformation.

Environmental

- Climate risks.
- Agricultural vulnerability.
- Resource efficiency.

Strategic implication:

Introduce sustainability considerations into lending and operations.

Legal

- Cooperative legislation.
- Financial regulation.
- Data protection.
- Employment law.

Strategic implication:

Strengthen compliance and governance systems.

18. Industry / Competitive Analysis

For organisations operating in competitive markets, consider:

- Competitors.
- Substitute products.
- New entrants.
- Supplier power.
- Customer/member power.

A useful methodology is **Porter's Five Forces**.

Example — SACCO

Competitive rivalry

Commercial banks and fintechs compete for savings and payments.

Threat of new entrants

Digital financial providers can enter the market quickly.

Substitutes

Mobile money and fintech services can substitute some SACCO services.

Member/customer power

Members can move their savings elsewhere.

Supplier power

Technology providers and financial institutions may have strong bargaining power.

Strategic implication

The SACCO should compete through:

- Member ownership.
- Trust.
- Personalised service.
- Competitive products.
- Community presence.
- Digital convenience.

PHASE 6 — BUSINESS MODEL ANALYSIS

19. Business Model Canvas

The Business Model Canvas helps understand **how the organisation creates, delivers and captures value**.

It has nine components:

1. Customer/member segments.
2. Value propositions.
3. Channels.
4. Customer/member relationships.
5. Revenue streams.
6. Key resources.
7. Key activities.
8. Key partners.
9. Cost structure.

20. Example — Artists' Multipurpose Cooperative

Member segments

- Musicians.
- Actors.
- Poets.
- Writers.
- Painters.
- Filmmakers.
- Producers.
- Photographers.

Value proposition

Shared access to production facilities, finance, skills, markets and collective services.

Channels

- Cooperative office.
- Digital platform.
- Social media.
- Events.
- Partnerships.

Member relationships

- Member meetings.
- Training.
- Digital communication.
- Advisory services.

Revenue streams

- Membership contributions.
- Service fees.
- Production income.
- Commission.
- Partnerships.
- Grants where appropriate.

Key resources

- Members.
- Equipment.
- Studios.
- Digital platforms.
- Intellectual property.
- Human expertise.

Key activities

- Production.
- Marketing.
- Training.
- Collective procurement.
- Distribution.

Key partners

- Government.
- Cultural institutions.
- Media.
- Technology companies.
- Financial institutions.

Cost structure

- Equipment.
- Staff.
- Facilities.
- Marketing.
- Technology.
- Administration.

PHASE 7 — PROBLEM ANALYSIS

21. Problem Tree

The Problem Tree is useful when the organisation needs to understand the causes of a major challenge.

It consists of:

Core Problem

↓

Causes

↓

Effects

Example

Core problem:

Low access of artists to sustainable markets.

Causes:

- Limited marketing skills.
- Fragmented artists.
- Weak distribution channels.
- Limited access to production equipment.
- Limited business skills.

Effects:

- Low income.
- Unstable employment.
- Loss of talent.
- Dependence on informal work.

22. Transforming a Problem Tree into an Objective Tree

Convert negative statements into positive statements.

Problem

Artists have limited access to markets.

becomes:

Artists have improved access to sustainable markets.

Causes

Limited marketing skills.

becomes:

Artists have improved marketing capabilities.

Fragmented artists.

becomes:

Artists are organised through effective cooperative structures.

This produces the basis for strategic objectives.

PHASE 8 — STRATEGIC CHOICES

23. From Analysis to Strategy

This is the most important part of strategic planning.

The organisation should not attempt to address every weakness.

A Strategic Plan requires **choices**.

Ask:

What are the 4–6 most important changes we must achieve during the planning period?

These become **Strategic Priorities or Strategic Pillars**.

24. Strategic Pillars

A strategic pillar is a major area of strategic focus.

Example — SACCO

Strategic Pillar 1: Governance and Institutional Strengthening

Strategic Pillar 2: Financial Sustainability

Strategic Pillar 3: Member Growth and Engagement

Strategic Pillar 4: Digital Transformation

Strategic Pillar 5: Human Capital and Innovation

25. How to Select Strategic Priorities

Use a prioritisation matrix.

Score each potential priority against:

- Strategic importance.
- Member impact.
- Urgency.
- Feasibility.
- Financial implications.
- Organisational capacity.

Score:

1 = Very Low

2 = Low

3 = Medium

4 = High

5 = Very High

Example

Priority	Impact	Urgency	Feasibility	Total
Digitalisation	5	5	4	14
New office	2	2	3	7
Staff training	4	4	5	13
New products	5	4	4	13

This provides a more objective basis for strategic choices.

PHASE 9 — STRATEGIC OBJECTIVES

26. What is a Strategic Objective?

A strategic objective describes a significant result that the organisation wants to achieve.

It should answer:

What major change do we want to achieve?

Weak objective

Improve digitalisation.

Too vague.

Strong objective

Increase the proportion of member services accessible through digital channels from 20% to 70% by 2029.

This is measurable and time-bound.

27. SMART Objectives

Objectives should ideally be:

S — Specific

M — Measurable

A — Achievable

R — Relevant

T — Time-bound

Example

Increase active SACCO membership from 500 to 1,000 members by December 2029.

Specific: membership.

Measurable: 500 → 1,000.

Achievable: subject to validation.

Relevant: growth.

Time-bound: December 2029.

28. Objective Hierarchy

A strong Strategic Plan should distinguish:

Vision

Where we want to be.

Strategic Pillar

Major area of focus.

Strategic Objective

Major result to achieve.

KPI

How success will be measured.

Target

How much/how well.

Initiative

Major intervention.

Activity

Specific action.

Example

Vision

A financially sustainable and digitally enabled SACCO serving an inclusive membership.

Pillar

Digital Transformation.

Objective

Increase digital access to member services.

KPI

Percentage of services available digitally.

Baseline

20%.

Target

70% by 2029.

Initiative

Digital Member Service Programme.

Activities

- Implement digital platform.
- Train staff.
- Train members.
- Introduce digital applications.
- Monitor usage.

PHASE 10 — BALANCED SCORECARD

29. Why Use the Balanced Scorecard?

The Balanced Scorecard, or BSC, prevents the organisation from focusing only on financial results.

A traditional cooperative may say:

"Our strategy is to increase income."

The BSC asks:

"What must happen financially, for members, in our internal processes, and in our people/capabilities to achieve this?"

The four traditional perspectives are:

1. **Financial**
2. **Member/Customer**
3. **Internal Processes**
4. **Learning and Growth**

For cooperatives, the second perspective can be adapted to **Members and Stakeholders**.

30. Example Balanced Scorecard — SACCO

Perspective	Strategic Objective	KPI	Target
Financial	Improve financial sustainability	Operating surplus	+20%
Members	Increase active membership	Active members	1,000
Internal Processes	Improve loan processing	Average processing time	<48 hours
Learning & Growth	Strengthen staff capacity	Staff completing training	100%

31. Strategic Cause-and-Effect Logic

The BSC should not be just a table.

It should demonstrate cause and effect.

For example:

Training staff

↓

Improved staff capability

↓

Better loan processing

↓

Better member experience

↓

Higher member retention



Higher savings and lending



Improved financial sustainability

This is the strategic logic of the organisation.

32. Strategy Map

A Strategy Map visually connects objectives.

Example

Learning & Growth

Improve staff digital skills



Internal Processes

Digitise member services



Members

Improve member experience



Financial

Increase member activity and revenue

This helps employees understand how their work contributes to strategy.

PHASE 11 — KPIs

33. Key Performance Indicators

A KPI measures whether a strategic objective is being achieved.

A good KPI should have:

- Definition.

- Formula.
- Baseline.
- Target.
- Frequency.
- Data source.
- Responsible person.

Example

Objective:

Increase active membership.

KPI:

Active membership rate.

Formula:

Active members ÷ total registered members × 100.

Baseline:

60%.

Target:

85%.

Frequency:

Quarterly.

Responsible:

Membership Manager.

34. Leading vs. Lagging Indicators

Lagging indicator

Measures the result.

Example:

Annual surplus.

Leading indicator

Measures the activities or conditions likely to produce the result.

Example:

Percentage of staff trained in financial analysis.

Both are useful.

Example

Objective:

Improve loan portfolio quality.

Leading indicators:

- Credit officers trained.
- Loan assessments completed correctly.
- Portfolio reviews conducted.

Lagging indicators:

- Portfolio at risk.
- Non-performing loan ratio.
- Recovery rate.

PHASE 12 — STRATEGIC INITIATIVES

35. What is a Strategic Initiative?

A strategic initiative is a major programme/project designed to achieve a strategic objective.

Example

Objective:

Improve digital member services.

Initiatives:

1. Digital platform implementation.
2. Member digital literacy programme.
3. Cybersecurity strengthening.
4. Digital product development.

Each initiative can then be converted into activities.

36. Action Plan

The Strategic Action Plan translates strategy into implementation.

Recommended structure:

Objective	Initiative	Activity	KPI	Target	Responsible	Timeline	Budget
Improve digital services	Digital platform	Configure system	Platform operational	1	IT Manager	Q1–Q2	E500,000
Improve digital services	Training	Train staff	Staff trained	100%	HR	Q2	E50,000
Increase members	Youth programme	Conduct campaigns	New youth members	300	Membership	Q2–Q4	E80,000

PHASE 13 — KANBAN FOR IMPLEMENTATION

37. Why Use Kanban?

A Strategic Plan often fails because the organisation has a good document but weak execution.

Kanban creates visibility over implementation.

Basic structure:

BACKLOG → TO DO → IN PROGRESS → REVIEW → DONE

Example

Strategic Initiative:

Launch digital member platform.

Tasks:

Backlog

- Identify requirements.
- Select provider.
- Approve budget.

To Do

- Configure system.

- Prepare user accounts.

In Progress

- System testing.

Review

- User acceptance testing.

Done

- Launch.

38. Kanban Rules

Each task should have:

- Task description.
- Responsible person.
- Deadline.
- Priority.
- Status.

Avoid putting 20 tasks simultaneously into "In Progress."

A useful rule is:

Limit work in progress.

This improves focus and accountability.

PHASE 14 — RISK MANAGEMENT

39. Strategic Risk Analysis

Every strategy contains risks.

Identify:

- Risk.
- Probability.
- Impact.
- Risk level.

- Mitigation.
- Responsible person.

Example

Risk	Probability	Impact	Mitigation
Cyberattack	High	High	Cybersecurity controls
Low member adoption	Medium	High	Member training
Funding shortage	Medium	High	Diversify income
Staff turnover	Medium	Medium	Succession and training

40. Risk Matrix

Use:

Probability × Impact

Example:

	Low Impact	Medium Impact	High Impact
Low Probability	Low	Low	Medium
Medium Probability	Low	Medium	High
High Probability	Medium	High	Critical

Strategic risks should be reviewed regularly.

PHASE 15 — FINANCIAL ALIGNMENT

41. Strategy Must Be Connected to the Budget

One of the most important principles is:

If it is strategic, it must have resources.

For each strategic initiative determine:

- Human resources.
- Financial resources.

- Technology.
- Infrastructure.
- Partnerships.
- Time.

Example

Digital transformation:

- Software.
- Hardware.
- Internet.
- Training.
- Cybersecurity.
- Technical support.
- Maintenance.

The organisation should create a **Strategic Investment Budget**.

42. Budget Prioritisation

Divide expenditure into:

Essential

Required to achieve strategic objectives.

Important

Strongly supports implementation.

Desirable

Useful but not critical.

Example

For a SACCO:

Essential

- Core system.
- Compliance.
- Staff training.

Important

- Digital marketing.

Desirable

- Office refurbishment.

This helps protect strategic priorities when resources are limited.

PHASE 16 — IMPLEMENTATION GOVERNANCE

43. Who Owns the Strategy?

The strategy should have clear governance.

General Assembly

- Approves major strategic direction where required.
- Holds leadership accountable.

Board

- Provides strategic oversight.
- Approves strategic priorities.
- Monitors performance.

Management

- Implements the strategy.
- Allocates resources.
- Reports progress.

Staff

- Implement activities.
- Provide operational feedback.

Supervisory/oversight structures

- Monitor compliance and accountability.

44. Strategy Review Structure

Recommended cycle:

Monthly

Operational review.

Quarterly

Strategic performance review.

Semi-annually

Strategic progress and risk review.

Annually

Full Strategic Plan review and annual planning.

Mid-term

Formal strategic review, normally around the middle of the planning period.

End of planning period

Strategic evaluation.

PHASE 17 — MONITORING AND EVALUATION

45. Strategic Performance Dashboard

A simple dashboard can classify KPIs:

Green

On track.

Amber

Needs attention.

Red

Off track.

Example:

KPI	Target	Actual	Status
Active members	1,000	850	Amber
Savings	E10m	E11m	Green
Digital users	70%	35%	Red

KPI	Target	Actual	Status
Staff trained	100%	95%	Green

46. The Strategic Review Meeting

A quarterly strategic review should ask:

1. What did we plan?
2. What did we achieve?
3. What did we not achieve?
4. Why?
5. What changed in the environment?
6. What risks emerged?
7. What decisions are required?
8. What should be changed?

This creates a **learning organisation**, rather than simply an organisation that reports activities.

PHASE 18 — COOPERATIVE-SPECIFIC STRATEGIC PLANNING

47. The Cooperative Difference

A cooperative should not copy a conventional company's Strategic Plan.

The cooperative has a dual nature:

Economic

It must be financially viable.

Member-oriented

It exists to serve members.

Therefore:

Financial sustainability is a means to achieve sustainable member benefit, not necessarily the final purpose by itself.

48. Cooperative Strategic Dimensions

A cooperative Strategic Plan should consider at least:

1. Member value

Are members receiving meaningful benefits?

2. Economic sustainability

Can the cooperative remain financially viable?

3. Governance

Is democratic control functioning?

4. Participation

Are members actively involved?

5. Inclusion

Are women, youth and underserved groups participating?

6. Institutional capacity

Does the cooperative have the required skills and systems?

7. Digital transformation

Can digital tools improve efficiency and member services?

8. Sustainability

Is the cooperative addressing environmental, social and governance issues?

9. Partnerships

Can strategic partnerships increase impact?

10. Innovation

Is the cooperative adapting to changing markets?

PHASE 19 — INTEGRATING SUSTAINABILITY / ESG

49. ESG in Strategic Planning

Environmental, Social and Governance considerations should not be treated as a separate report.

They can be integrated into strategic objectives.

Environmental

Examples:

- Energy efficiency.
- Waste management.
- Climate resilience.
- Sustainable production.

Social

Examples:

- Inclusion.
- Gender participation.
- Youth participation.
- Decent work.
- Community impact.
- Member welfare.

Governance

Examples:

- Board effectiveness.
- Transparency.
- Conflict-of-interest management.
- Compliance.
- Risk management.

Important: If possible, the results of the Sustainability Tool could be incorporated as an input into the Strategic Plan and used to inform the corresponding Action Plan.

50. Example

Instead of:

"Improve sustainability."

Create specific objectives:

Environmental

Reduce electricity consumption per unit of production by 20% by 2029.

Social

Increase youth participation in cooperative programmes from 15% to 40%.

Governance

Achieve 100% compliance with annual governance and statutory reporting requirements.

PHASE 20 — DIGITAL TRANSFORMATION

51. Digital Strategy

Digital transformation should be connected to strategic needs.

Ask:

- Which processes are inefficient?
- Where is data unavailable?
- Which services should be digital?
- What do members need?
- What technology already exists?
- What digital skills are missing?
- What cybersecurity risks exist?

Example

Current:

Members submit paper forms.

Future:

Members submit applications digitally.

Strategic benefit:

- Faster processing.
- Better data.
- Lower administrative costs.
- Better member experience.
- Improved reporting.

PHASE 21 — STRATEGIC PLANNING WORKSHOP

52. Recommended Workshop Structure

A 2–3 day Strategic Planning workshop can follow this structure.

Day 1 — Understanding the Organisation

Session 1

Introduction and expectations.

Session 2

Vision, Mission and Values.

Session 3

Organisational performance review.

Session 4

Stakeholder analysis.

Session 5

SWOT.

Session 6

PESTEL.

53. Day 2 — Strategy Development

Session 1

SWOT strategic conversion.

Session 2

Problem Tree.

Session 3

Business Model Canvas.

Session 4

Strategic priorities.

Session 5

Strategic objectives.

Session 6

Balanced Scorecard.

Session 7

Strategy Map.

54. Day 3 — Implementation

Session 1

KPIs and targets.

Session 2

Strategic initiatives.

Session 3

Action plan.

Session 4

Budget alignment.

Session 5

Risk management.

Session 6

Implementation governance.

Session 7

Validation and commitment.

PHASE 22 — A COMPLETE PRACTICAL EXAMPLE

55. Example: SACCO Strategic Planning

Assume a SACCO has:

- 500 members.
- E6 million savings.
- Manual processes.

- Limited digital services.
- Weak youth participation.
- Good community reputation.
- Increasing competition from fintechs.

Step 1 — Vision

"To become a trusted, inclusive and digitally enabled SACCO providing sustainable financial solutions to its members."

Step 2 — Mission

"To improve the economic wellbeing of members through accessible financial services, democratic participation, responsible management and continuous innovation."

Step 3 — SWOT

Strengths

- Community trust.
- Loyal members.
- Experienced Board.

Weaknesses

- Manual processes.
- Limited digital skills.
- Slow loan processing.

Opportunities

- Mobile technology.
- Youth market.
- Digital payments.

Threats

- Fintechs.
- Commercial banks.
- Cybersecurity.

Step 4 — Strategic Priorities

1. Governance and institutional strengthening.
2. Financial sustainability.
3. Member growth and engagement.
4. Digital transformation.
5. Human capital development.

Step 5 — Strategic Objectives

Governance

Strengthen governance systems and Board effectiveness by 2029.

Financial sustainability

Increase operating surplus while maintaining responsible portfolio quality.

Membership

Increase active membership from 500 to 1,000 by 2029.

Digitalisation

Make 70% of priority member services available through digital channels by 2029.

Human capital

Ensure all staff receive relevant professional and digital skills development annually.

56. Balanced Scorecard Example

Perspective Objective		KPI	Baseline Target	
Financial	Improve sustainability	Operating surplus	E400k	E700k
Members	Increase active members	Active members	500	1,000
Members	Improve satisfaction	Satisfaction score	65%	90%
Internal	Improve loan processing	Processing time	7 days	2 days
Internal	Increase digital services	Services digitalised	20%	70%
Learning	Strengthen skills	Staff trained	50%	100%
Governance	Improve compliance	Governance actions completed	70%	100%

57. Strategic Map Example

LEARNING & GROWTH

Staff digital and financial capabilities



INTERNAL PROCESSES

Efficient and digitalised processes



MEMBER

Faster, easier and more accessible services



FINANCIAL

More active members + increased savings + quality lending



SUSTAINABILITY

Stronger and financially sustainable SACCO

This is the logic that connects the different parts of the strategy.

PHASE 23 — FROM STRATEGY TO ACTION

58. Example Strategic Action Plan

Objective

Digitalise priority member services.

Initiative

Digital Member Service Programme.

Activities

1. Conduct digital gap assessment.
2. Define system requirements.
3. Select/configure digital solution.
4. Test the system.

5. Train staff.
6. Train members.
7. Launch.
8. Monitor usage.

KPI

Percentage of priority services available digitally.

Baseline

20%.

Target

70%.

Responsible

Management / IT.

Timeline

2027–2029.

Budget

To be determined through detailed costing.

PHASE 24 — COMMON STRATEGIC PLANNING MISTAKES

59. Mistake 1 — Too Many Objectives

A Strategic Plan with 40 strategic objectives is usually an operational plan disguised as strategy.

Better approach

Use approximately:

4–6 strategic pillars

with:

2–4 strategic objectives per pillar.

60. Mistake 2 — Confusing Activities with Objectives

Bad:

Conduct five workshops.

This is an activity.

Better:

Strengthen the governance capacity of cooperative leaders.

KPI:

Percentage of trained leaders demonstrating improved governance competence.

61. Mistake 3 — No Baseline

If you do not know where you start, you cannot measure progress.

Always establish:

Baseline → Target → Actual

Example:

2026 baseline: 35%

2029 target: 75%

2027 actual: 48%

2028 actual: 63%

2029 actual: 76%

62. Mistake 4 — Unrealistic Targets

Targets should be ambitious but credible.

Use:

- Historical performance.
- Available resources.
- Market potential.
- Capacity.
- Financial projections.

63. Mistake 5 — Strategy Without Budget

If an objective requires E1 million but the budget allocates nothing, it is not really a strategic priority.

64. Mistake 6 — Strategy Developed Only by Consultants

Consultants can provide methodology and technical support.

However:

The organisation must own the strategic choices.

65. Mistake 7 — Strategy Document Becomes a Shelf Document

The solution is to establish:

- Quarterly reviews.
- KPIs.
- Dashboards.
- Responsible persons.
- Action plans.
- Board oversight.
- Annual reviews.

PHASE 25 — RECOMMENDED STRATEGIC PLAN DOCUMENT STRUCTURE

66. Final Strategic Plan

A professional final document can contain:

- 1. Executive Summary**
- 2. Introduction**
- 3. Background of the Organisation**
- 4. Strategic Planning Methodology**
- 5. Organisational Identity**

- Vision
- Mission
- Values

6. Situation Analysis

- Organisational performance
- Stakeholder analysis
- SWOT
- PESTEL
- Industry/competitive analysis
- Business Model Canvas
- Problem analysis

7. Strategic Direction

- Strategic priorities
- Strategic pillars
- Strategic objectives

8. Strategy Map

9. Balanced Scorecard

10. Strategic KPIs

11. Strategic Initiatives

12. Implementation Plan

13. Resource and Budget Framework

14. Risk Management

15. Governance and Responsibilities

16. Monitoring and Evaluation

17. Communication Strategy

18. Review and Adaptation Mechanism

19. Conclusion

20. Annexes

Important: The system will provide a comprehensive plan that incorporates all the materials and activities completed. Alternatively, users can customize the information and adapt the plan according to their specific needs and requirements.

PHASE 26 — THE STRATEGIC PLANNING TOOLKIT

67. Recommended Methodologies and Their Purpose

Methodology	Main Question	Best Used For
Organisational Profile	Who are we?	Baseline
Stakeholder Map	Who matters?	Engagement
PESTEL	What is changing outside?	External analysis
SWOT	What are our strengths/weaknesses and external opportunities/threats?	Situation analysis
SWOT Conversion	What can we do with what we know?	Strategy formulation
Problem Tree	Why does the problem exist?	Root-cause analysis
Objective Tree	What future condition do we want?	Objective development
Business Model Canvas	How do we create value?	Business model
Porter's Five Forces	What competitive forces affect us?	Market strategy
VRIO	Which resources create advantage?	Capability analysis
Benchmarking	How do we compare?	Performance improvement
Prioritisation Matrix	What should we focus on?	Strategic choices
SMART	Is the objective well defined?	Objective setting
Balanced Scorecard	How do we measure strategy?	Performance management
Strategy Map	How are objectives connected?	Strategic logic

Methodology	Main Question	Best Used For
KPI Framework	How do we know progress?	Monitoring
Risk Matrix	What could prevent success?	Risk management
Action Plan	What exactly will we do?	Implementation
Kanban	How do we manage execution?	Implementation
Budget Alignment	What resources are needed?	Financial planning
Dashboard	What is the current status?	Management

PHASE 27 — WHICH METHODOLOGY SHOULD BE USED?

68. Do Not Use Every Methodology Automatically

A common mistake is trying to use every available tool.

The methodologies should answer specific questions.

If you need to understand the environment:

Use:

PESTEL

If you need to understand internal/external strengths:

Use:

SWOT

If you need to understand root causes:

Use:

Problem Tree

If you need to understand the business model:

Use:

Business Model Canvas

If you need to understand competition:

Use:

Five Forces

If you need to select priorities:

Use:

Prioritisation Matrix

If you need measurable objectives:

Use:

SMART

If you need strategic performance management:

Use:

Balanced Scorecard

If you need implementation:

Use:

Action Plan + Kanban

If you need continuous monitoring:

Use:

KPIs + Dashboard + Quarterly Review

PHASE 28 — THE COMPLETE STRATEGIC LOGIC

69. The "Golden Chain" of Strategic Planning

A strong Strategic Plan should have a visible chain:

Vision

↓

Mission

↓

Strategic Diagnosis

↓

Strategic Challenges

↓

Strategic Priorities

↓

Strategic Objectives

↓

KPIs

↓

Targets

↓

Strategic Initiatives

↓

Activities

↓

Budget

↓

Responsibilities

↓

Timeline

↓

Monitoring

↓

Learning and Adaptation

If one of these links is missing, implementation becomes weaker.

PHASE 29 — QUALITY CONTROL

70. Strategic Plan Quality Checklist

Before approving the Strategic Plan, ask:

Identity

- Is the Vision clear?
- Is the Mission meaningful?
- Are the Values reflected in behaviour?

Analysis

- Is the internal situation evidence-based?
- Is the external environment properly analysed?
- Has SWOT been converted into strategic choices?

Strategy

- Are priorities clearly defined?
- Are there too many priorities?
- Are objectives measurable?
- Is there a clear strategic logic?

Performance

- Does every strategic objective have a KPI?
- Is there a baseline?
- Is there a target?
- Is there a responsible person?

Implementation

- Are initiatives defined?
- Are activities identified?
- Are timelines realistic?
- Is the budget aligned?

Risk

- Are major strategic risks identified?
- Are mitigation measures defined?

Governance

- Who owns implementation?
- Who monitors?
- Who reports?
- Who approves changes?

Sustainability

- Are environmental, social and governance considerations integrated?

Digitalisation

- Are technology and data considered where relevant?

Cooperative identity

- Does the strategy strengthen member benefit, participation and democratic governance?

PHASE 30 — THE FINAL STRATEGIC PLANNING MODEL

71. Recommended Model for Cooperative Organisations

For a cooperative-focused Strategic Planning process, the following sequence is particularly effective:

STEP 1

Organisational Profile

↓

STEP 2

Vision + Mission + Values

↓

STEP 3

Stakeholder Analysis

↓

STEP 4

Internal Analysis

↓

STEP 5

PESTEL

↓

STEP 6

SWOT



STEP 7

Problem Tree / Root Cause Analysis



STEP 8

Business Model Canvas



STEP 9

Strategic SWOT Conversion



STEP 10

Strategic Prioritisation



STEP 11

Strategic Pillars



STEP 12

Strategic Objectives



STEP 13

Strategy Map



STEP 14

Balanced Scorecard



STEP 15

KPIs + Baselines + Targets



STEP 16

Strategic Initiatives

↓

STEP 17

Action Plan

↓

STEP 18

Budget Alignment

↓

STEP 19

Risk Management

↓

STEP 20

Implementation Governance

↓

STEP 21

Dashboard + Kanban

↓

STEP 22

Quarterly Strategic Review

↓

STEP 23

Annual Review and Adaptation

72. The Most Important Principle

A Strategic Plan should not be judged by how impressive the document looks.

It should be judged by whether it enables the organisation to answer five questions at any moment:

1. Where are we going?

Vision

2. What are we trying to achieve?

Strategic objectives

3. How will we achieve it?

Strategic initiatives and activities

4. How will we know whether we are succeeding?

KPIs and targets

5. What will we do when reality changes?

Monitoring, review and adaptation

If the organisation can answer these five questions clearly, the Strategic Plan is functioning as a management tool rather than simply as a document.

73. Recommended "Strategy on One Page"

Every organisation should ultimately be able to reduce its strategy to one page:

VISION

Where we want to be.



MISSION

Why we exist.



5 STRATEGIC PILLARS

What we will focus on.



2–4 OBJECTIVES PER PILLAR

What must change.



KPIs + TARGETS

How success will be measured.



STRATEGIC INITIATIVES

What major programmes will create the change.



ACTION PLAN

Who does what and when.

↓

BUDGET

What resources are required.

↓

DASHBOARD

Are we on track?

This one-page strategy becomes the bridge between the **Strategic Plan, Board oversight, management, staff and implementation.**

74. Conclusion

An effective Strategic Plan is a combination of **strategic thinking, evidence, participation, prioritisation, measurable objectives and disciplined implementation.**

The methodologies should therefore not be treated as isolated exercises.

Their relationship should be:

PESTEL tells us what is happening outside.

Internal analysis tells us what is happening inside.

SWOT brings the two together.

Problem Tree identifies root causes.

Business Model Canvas explains how we create value.

Prioritisation helps us choose.

Strategic Pillars organise our choices.

Strategic Objectives define the results.

Strategy Map explains the cause-and-effect logic.

Balanced Scorecard translates strategy into performance dimensions.

KPIs and targets make performance measurable.

Strategic Initiatives define the major interventions.

Action Plans define implementation.

Budget provides the resources.

Risk Management protects the strategy.

Kanban supports execution.

Dashboards support monitoring.

Strategic Reviews create learning and adaptation.

The final objective is therefore not simply to **"develop a Strategic Plan."**

It is to establish a **Strategic Management System** in which the cooperative continuously moves from:

Analysis → Decision → Action → Measurement → Learning → Adaptation → Results.

That is what turns a Strategic Plan into a living management instrument.